

Is Your Home an Investment?

Conventional wisdom says home ownership is a great investment. Based on data from the US Census Bureau, home equity accounts for 75 percent of the average American's net worth. But those who *Choose FI* are anything but conventional.

Kristy and Bryce write the blog *Millennial Revolution*. They strongly believe that your house is not an investment. They are known as Canada's youngest retirees, an achievement they credit largely to rejecting the "cult of homeownership." Kristy and Bryce felt pressure to buy a home in Toronto, where they were starting their careers, amid a housing bubble. Prices were rapidly increasing, their friends were all buying, and they faced pressure from their families. This led to a serious case of FOMO—fear of missing out.

Amid the pressure, Kristy and Bryce stepped back to look at the math of home ownership. Many people look at a mortgage calculator to see what payments will be and stop there. Instead, Kristy and Bryce did a deep dive on the costs of home ownership—things that banks and real estate agents often brush over since their livelihoods depend on selling homes. Kristy and Bryce looked at closing costs to